

Understanding

NACH-National Automated Clearing House

Introduction

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WHAT IS NACH?

- Developed by NPCI to facilitate electronic transactions
- Replaces the earlier Electronic Clearing System (ECS)

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OBJECTIVES OF NACH

- Streamline bulk payments across institutions
- Offer centralized, web-based clearing services
- Improve efficiency in direct benefit transfers, subsidies, salaries, etc

3

KEY FEATURES

- Supports both Debit and Credit transactions
- Highly secure and scalable
- Pan-India coverage with seamless integration

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TYPES OF NACH TRANSACTIONS

- NACH Credit
- Bulk payments
- Salaries
- Pensions
- Subsidies
- NACH Debit
- Loan EMIs
- Utility bills
- Mutual funds

Introduction

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BENEFITS OF NACH

- Reduces manual intervention
- Enhances transparency and accountability
- Improves turnaround time for transactions
- Supports financial inclusion

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NACH MANDATE PROCESS

- Customers authorize Bank to debit their accounts
- Mandate registered via Bank

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IMPACT AND USAGE

- Widely used by government and private organizations
- Crucial for subsidy distribution under DBT schemes
- Significant growth in adoption across banking and finance sectors

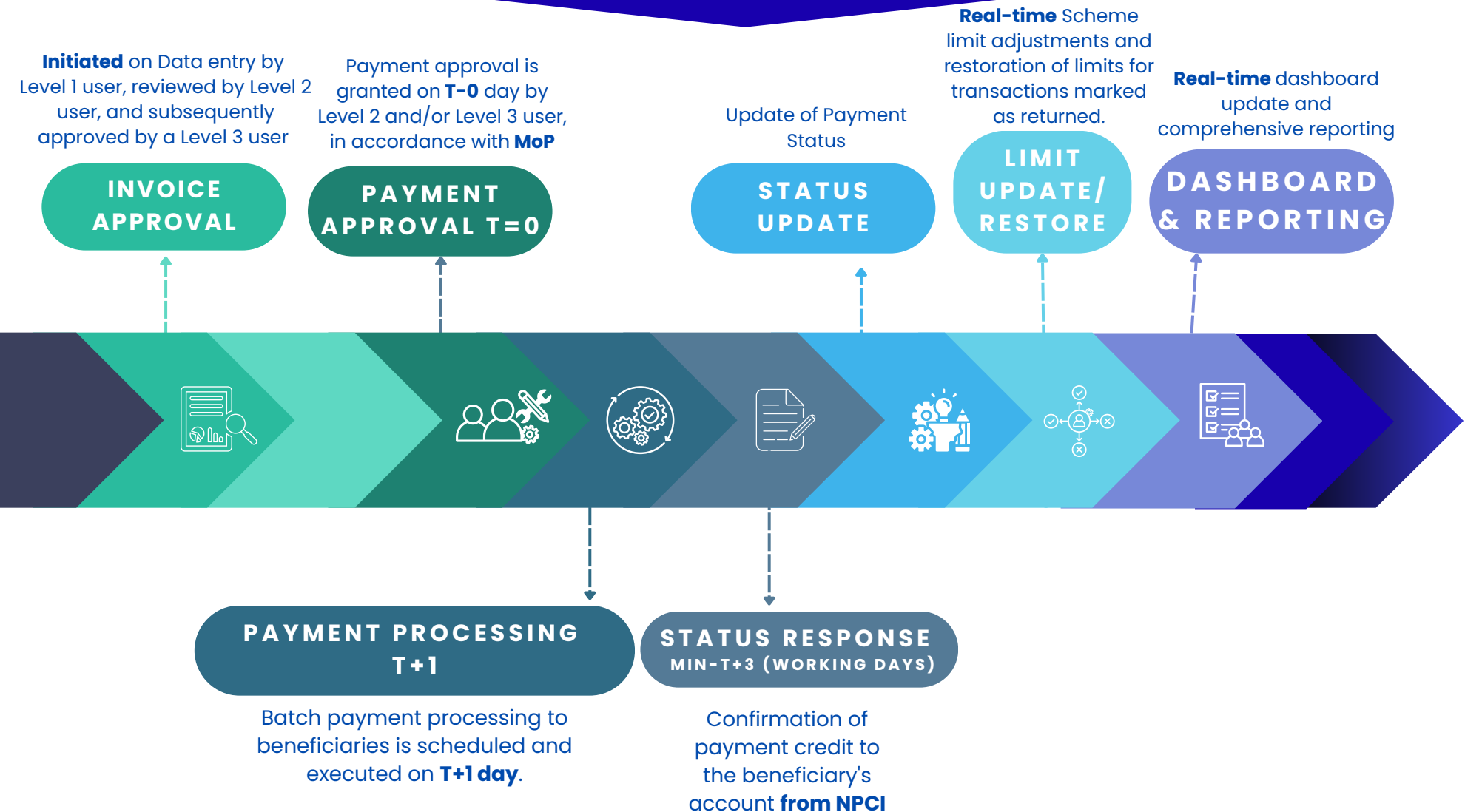
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CONCLUSION

- NACH simplifies bulk transactions
- Plays a vital role in digital payments ecosystem
- A core pillar in India's financial infrastructure

END-TO-END FLOW OF TRANSACTION LIFECYCLE

FMS APPLICATION END



BANK END